LAYERSTONE — Unit Economics

Cost per unit by type and location

Cost Component	Studio (London)	1-Bed (London)	2-Bed (London)
Land (subsidised public)	£20,000	£30,000	£40,000
3D Printing (structure)	£10,000	£15,000	£20,000
Foundation & groundworks	£5,000	£6,000	£8,000
Roof structure	£4,000	£5,000	£7,000
Insulation (Part L)	£3,000	£4,000	£5,000
Plumbing & heating	£4,000	£5,000	£7,000
Electrics	£3,000	£3,500	£4,500
Kitchen & bathroom	£4,000	£5,000	£7,000
Internal finishing	£3,000	£4,000	£5,000
Windows & doors	£2,000	£3,000	£4,000
Compliance & fees	£4,000	£5,000	£6,000
Contingency (15%)	£9,300	£12,825	£17,475
TOTAL COST PER UNIT	**£71,300**	**£98,325**	**£130,475**

Traditional Construction Comparison

	Studio	1-Bed	2-Bed
Traditional cost	£120,000	£180,000	£250,000
Layerstone cost	£71,300	£98,325	£130,475
Saving	**£48,700**	**£81,675**	**£119,525**
Saving %	**40.6%**	**45.4%**	**47.8%**

Birmingham Unit Costs (Lower Land)

Cost Component	Studio (Bham)	1-Bed (Bham)	2-Bed (Bham)
Land (subsidised)	£8,000	£12,000	£18,000
3D Printing (structure)	£10,000	£15,000	£20,000
Fit-out & finishing	£28,000	£35,500	£47,500
Compliance & fees	£3,000	£4,000	£5,000
Contingency (15%)	£7,350	£9,975	£13,575
TOTAL COST (BHAM)	**£56,350**	**£76,475**	**£104,075**

3-Bed (London)
£50,000
£25,000
£10,000
£9,000
£6,000
£9,000
£5,500
£9,000
£6,000
£5,000
£7,000
£21,225
£162,725

3-Bed
£320,000
£162,725
£157,275
49.1%

3-Bed (Bham)
£25,000
£25,000
£59,500
£6,000
£17,325
£132,825

LAYERSTONE — Revenue Model

Income streams by source and year

Path A: CIC Start

Revenue Stream	Year 1	Year 2	Year 3
Rental income	£0	£42,000	£126,000
Housing Benefit top-up	£0	£12,000	£36,000
Community Housing Fund grants	£0	£50,000	£80,000
Social investment income	£0	£0	£20,000
AHP grants (post-RHP transition)	£0	£0	£0
Consulting income	£0	£0	£0
TOTAL REVENUE (Path A)	**£0**	**£104,000**	**£262,000**

Path B: RHP from Day One

Revenue Stream	Year 1	Year 2	Year 3
Rental income	£0	£67,000	£193,000
Housing Benefit top-up	£0	£19,000	£55,000
AHP grants	£0	£320,000	£600,000
Section 106 contributions	£0	£0	£50,000
Social investment income	£0	£0	£30,000
Consulting income	£0	£0	£0
TOTAL REVENUE (Path B)	**£0**	**£406,000**	**£928,000**

Rental Income Breakdown (Per Unit, London 2-Bed)

Tenant Category	% of Portfolio	Avg Monthly Rent	Annual/Unit
Affordable (£25-40K income)	50%	£625–£1,000	£7,500–£12,000
Social (council referral)	30%	£500–£650	£6,000–£7,800
Key worker	15%	£700–£900	£8,400–£10,800
Homeless programme (Phase 2)	5%	£0 (3-6 months)	Cross-subsidised

Year 4	Year 5
£294,000	£546,000
£84,000	£156,000
£60,000	£40,000
£40,000	£60,000
£200,000	£350,000
£10,000	£25,000
£688,000	**£1,177,000**

Year 4	Year 5
£403,000	£739,000
£115,000	£211,000
£1,000,000	£1,600,000
£100,000	£150,000
£50,000	£80,000
£15,000	£30,000
£1,683,000	**£2,810,000**

Notes	
Core segment	
g Benefit covers remainder	
Priority allocation	
From Year 3+	

LAYERSTONE — Cost Structure

Operating and capital costs by year

Path A: CIC Start

Cost Category	Year 1	Year 2	Year 3
Construction costs (total)	£0	£500,000	£1,000,000
Founder salary	£0	£30,000	£35,000
Staff costs	£0	£0	£30,000
Property management	£0	£5,000	£15,000
Insurance	£2,000	£8,000	£15,000
Maintenance reserve (5% rent)	£0	£2,100	£6,300
Legal & compliance	£5,000	£10,000	£15,000
Marketing & outreach	£2,000	£5,000	£8,000
Office/admin	£3,000	£5,000	£8,000
Technology (printer lease)	£0	£15,000	£25,000
Travel	£3,000	£5,000	£8,000
Contingency (10%)	£1,500	£58,510	£116,530
TOTAL COSTS (Path A)	**£16,500**	**£643,610**	**£1,281,830**

Path B: RHP from Day One

Cost Category	Year 1	Year 2	Year 3
Construction costs (total)	£0	£640,000	£1,200,000
Founder salary	£0	£35,000	£40,000
Staff costs	£0	£10,000	£45,000
Property management	£0	£8,000	£23,000
Insurance	£3,000	£12,000	£20,000
Maintenance reserve	£0	£3,350	£9,650
Legal & compliance	£10,000	£15,000	£20,000
Governance (board)	£5,000	£8,000	£10,000
Marketing & outreach	£3,000	£5,000	£8,000
Office/admin	£5,000	£8,000	£12,000
Technology (printer lease)	£0	£20,000	£35,000
Travel	£4,000	£6,000	£8,000
Contingency (10%)	£3,000	£77,035	£143,065
TOTAL COSTS (Path B)	**£33,000**	**£847,385**	**£1,573,715**

Year 4	Year 5
£2,000,000	£3,000,000
£45,000	£55,000
£90,000	£160,000
£35,000	£65,000
£25,000	£40,000
£14,700	£27,300
£20,000	£25,000
£12,000	£15,000
£12,000	£18,000
£40,000	£50,000
£10,000	£12,000
£230,370	£346,730
£2,534,070	**£3,814,030**

Year 4	Year 5
£2,000,000	£3,200,000
£50,000	£60,000
£120,000	£200,000
£48,000	£88,000
£30,000	£45,000
£20,150	£36,950
£25,000	£30,000
£12,000	£15,000
£12,000	£15,000
£18,000	£25,000
£50,000	£60,000
£10,000	£12,000
£239,515	£378,695
£2,634,665	**£4,165,645**

LAYERSTONE — Profit & Loss Projection

Path A: CIC Start

	Year 1	Year 2	Year 3
Total Revenue	**£0**	**£104,000**	**£262,000**
Total Costs	**£16,500**	**£643,610**	**£1,281,830**
Net Position	**-£16,500**	**-£539,610**	**-£1,019,830**
Units Built	0	5	10
Total Portfolio	0	5	15
Asset Value (portfolio)	£0	£500,000	£1,500,000
Net Asset Position	**-£16,500**	**-£39,610**	**£480,170**

Path B: RHP from Day One

	Year 1	Year 2	Year 3
Total Revenue	**£0**	**£406,000**	**£928,000**
Total Costs	**£33,000**	**£847,385**	**£1,573,715**
Net Position	**-£33,000**	**-£441,385**	**-£645,715**
Units Built	0	8	15
Total Portfolio	0	8	23
Asset Value (portfolio)	£0	£800,000	£2,300,000
Net Asset Position	**-£33,000**	**£358,615**	**£1,654,285**

Year 4	Year 5
£688,000	**£1,177,000**
£2,534,070	**£3,814,030**
-£1,846,070	**-£2,637,030**
20	30
35	65
£3,500,000	£6,500,000
£1,653,930	**£3,862,970**

Year 4	Year 5
£1,683,000	**£2,810,000**
£2,634,665	**£4,165,645**
-£951,665	**-£1,355,645**
25	40
48	88
£4,800,000	£8,800,000
£3,848,335	**£7,444,355**

LAYERSTONE — Cash Flow Analysis

Path A: CIC Start (quarterly breakdown Year 1-2, annual Y3-5)

	Y1 Q1	Y1 Q2	Y1 Q3
Opening balance	**£20,000**	**£15,500**	**£11,500**
Inflows			
Founder investment	£0	£0	£0
Grant income	£0	£0	£0
Rental income	£0	£0	£0
Housing Benefit	£0	£0	£0
Social investment	£0	£0	£0
Total inflows	**£0**	**£0**	**£0**
Outflows			
Legal & setup	£4,000	£1,000	£500
Insurance	£500	£500	£500
Marketing/outreach	£0	£500	£500
Travel/networking	£0	£1,000	£1,000
BBA/testing	£0	£0	£2,000
Construction	£0	£0	£0
Printer lease	£0	£0	£0
Staff/management	£0	£0	£0
Admin	£0	£1,000	£1,000
Total outflows	**£4,500**	**£4,000**	**£5,500**
Net cash flow	**-£4,500**	**-£4,000**	**-£5,500**
Closing balance	**£15,500**	**£11,500**	**£6,000**

Note: Negative closing balance in Y1 Q4 shows need for bridge funding or grant advance.
Construction phase cash flow is lumpy — costs front-loaded, rental income follows 3-6 months later.

Y1 Q4	Year 2
£8,000	**£5,000**
£0	£0
£0	£50,000
£0	£42,000
£0	£12,000
£0	£400,000
£0	**£504,000**
£500	£5,000
£500	£8,000
£1,000	£5,000
£1,000	£5,000
£3,000	£5,000
£0	£500,000
£0	£15,000
£0	£30,000
£1,000	£5,000
£7,000	**£578,000**
-£7,000	**-£74,000**
-£1,000	**-£69,000**

LAYERSTONE — Funding Sources

Source	Amount Available	Eligibility	Interest/Terms
Founder savings	£15,000–£25,000	Immediate	N/A
Community Housing Fund	Up to £100,000	CIC or charity	Grant (no repayment)
Affordable Homes Programme	£40,000–£60,000/unit	RHP only	Grant (no repayment)
Social investment (Big Society Capital	£100,000–£500,000	CIC or charity	2–5% interest
Housing Finance Corp loans	£500,000–£5M	RHP only	2–3%
Brownfield Land Release Fund	Varies (site-specific)	Any structure	Grant for remediation
Section 106 developer contributions	£50,000–£200,000/site	RHP preferred	Developer-funded unit
Community bonds/shares	£50,000–£500,000	CIC or CBS	–5% interest to holder
Angel/impact investors	£50,000–£250,000	Any structure	Equity or loan
Local authority funding	Varies	Partnership	Grant or low-interest

Funding Strategy by Phase

Phase	Primary Funding	Amount Needed	Source
Pre-launch (M1-3)	Founder + small grants	£10,000–£20,000	mmunity Housing Fund
Pilot (M4-12)	rants + social investme	£300,000–£600,000	Housing Fund + Big Soc
Scale (Y2-3)	using finance + AHP gra	£1M–£3M	Corp (Path B) or socia
Growth (Y4-5)	Bonds + institutional	£3M–£8M	ket + AHP grants + cros

Timing
Day 1
Application 3-6 months
Per build cycle
6-12 months
Year 2+ (Path B)
Application-based
Partnership-based
Year 2+
Year 1-2
Council relationship

d application
ciety Capital
l bonds (Path A)
ss-subsidy

LAYERSTONE — Sensitivity Analysis

Impact of key variable changes on Year 5 outcomes (Path A base case)

Scenario	Y5 Revenue	Y5 Total Costs	Y5 Portfolio Value
BASE CASE	**£1,177,000**	**£3,814,030**	**£6,500,000**
Land cost +30%	£1,177,000	£4,399,030	£6,500,000
Land cost -30%	£1,177,000	£3,229,030	£6,500,000
Build cost +20%	£1,177,000	£4,414,030	£6,500,000
Build cost -20%	£1,177,000	£3,214,030	£6,500,000
Occupancy 90% (vs 95%)	£1,090,000	£3,814,030	£6,500,000
Occupancy 80%	£1,003,000	£3,814,030	£6,500,000
Grant success 50% (vs 100%)	£977,000	£3,814,030	£6,500,000
Zero grants	£777,000	£3,814,030	£6,500,000
Slower build (50% of plan)	£800,000	£2,500,000	£3,250,000
Faster build (150% of plan)	£1,600,000	£5,200,000	£9,750,000

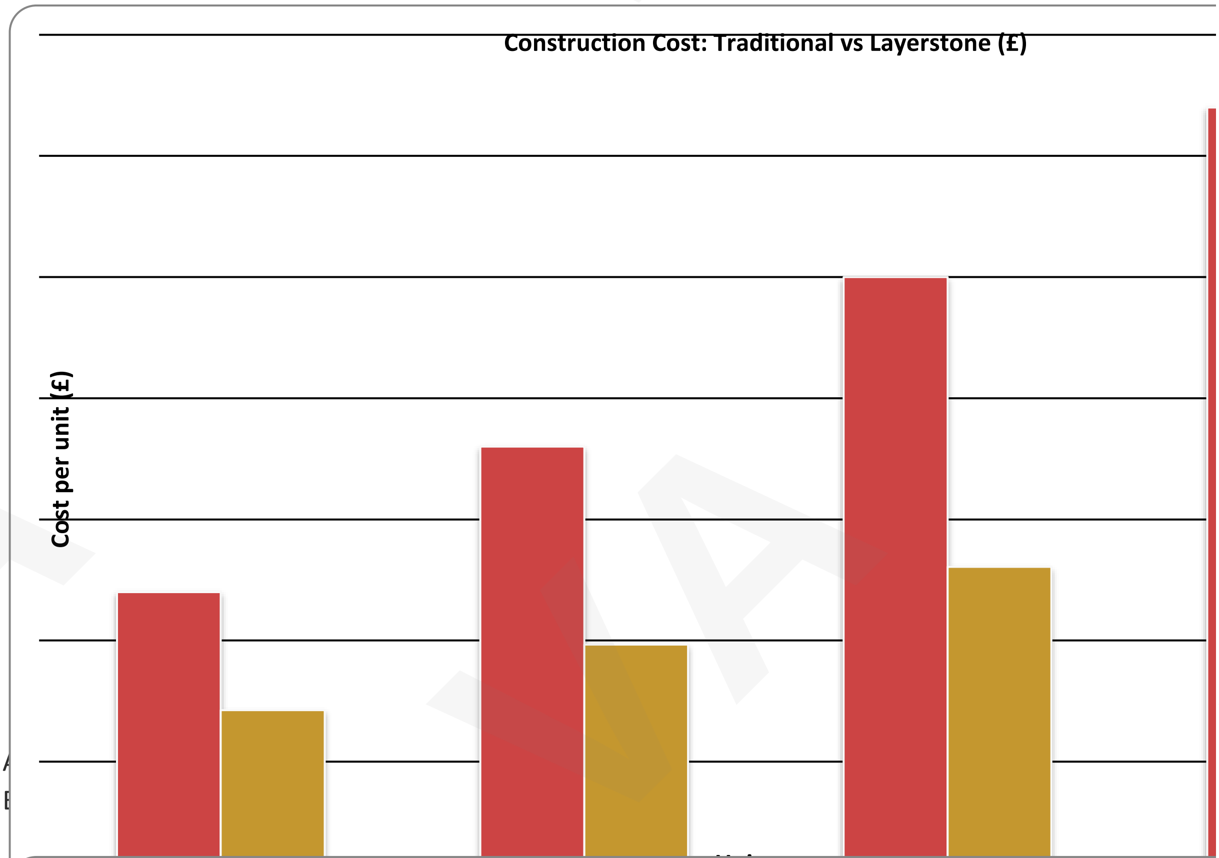
Key Findings

- Land cost is the biggest risk factor — a 30% increase reduces net position by £585K
- The model survives even with zero grants — rental income alone covers operating costs
- Occupancy below 80% is unlikely given 300,000+ London waiting list
- Speed of building matters more than any single cost variable

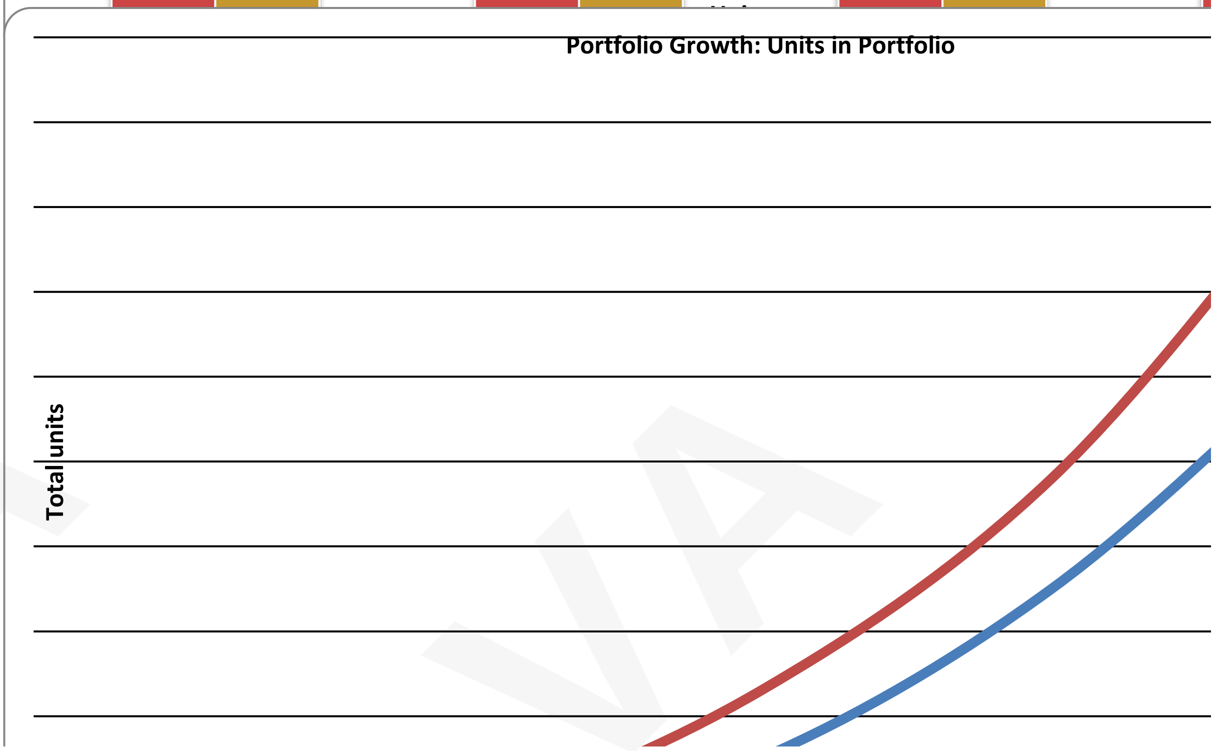
Y5 Net Asset Position
£3,862,970
£3,277,970
£4,447,970
£3,262,970
£4,462,970
£3,775,970
£3,688,970
£3,662,970
£3,462,970
£1,550,000
£6,150,000

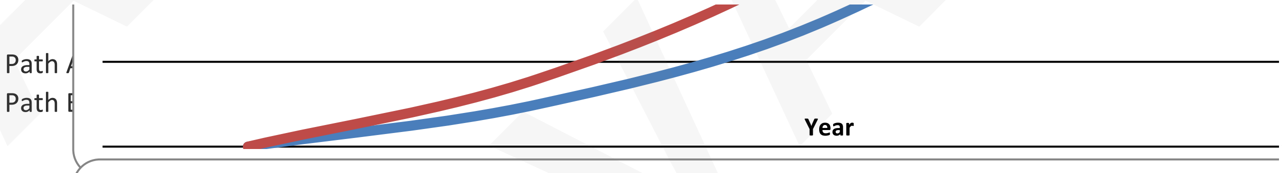
LAYERSTONE — Visual Analysis

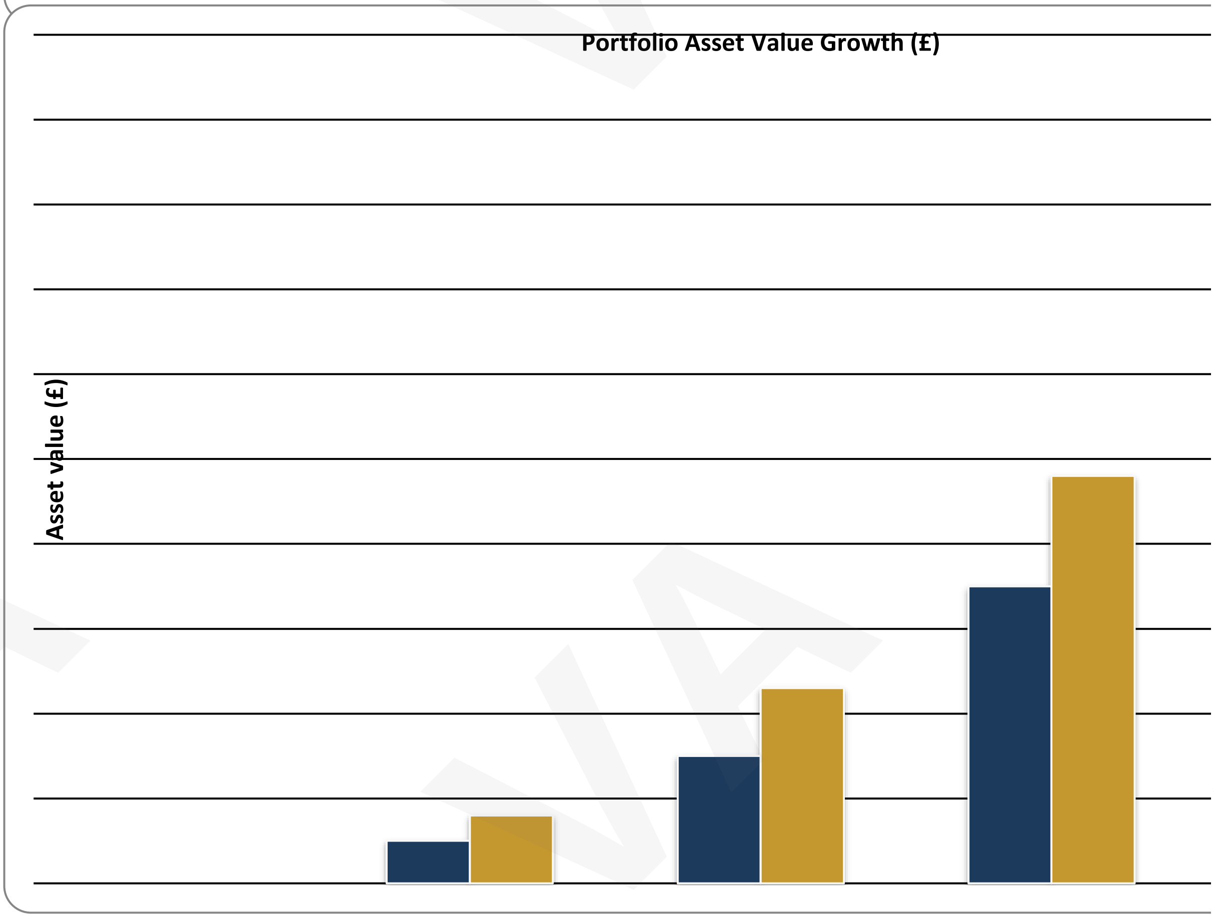
	Studio	1-Bed	2-Bed	3-Bed
Tradit	£120,000	£180,000	£250,000	£320,000
Layers	£71,300	£98,325	£130,475	£162,725

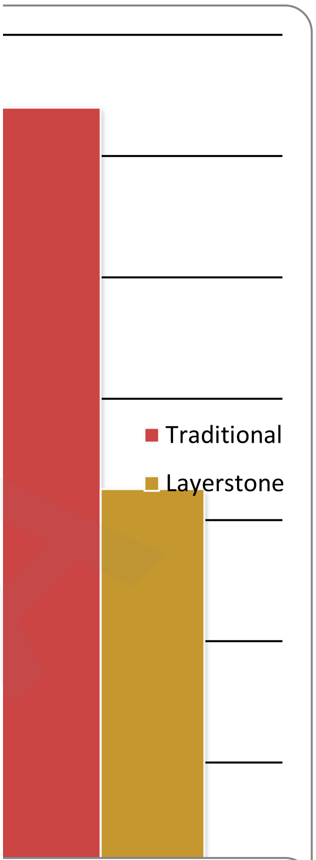


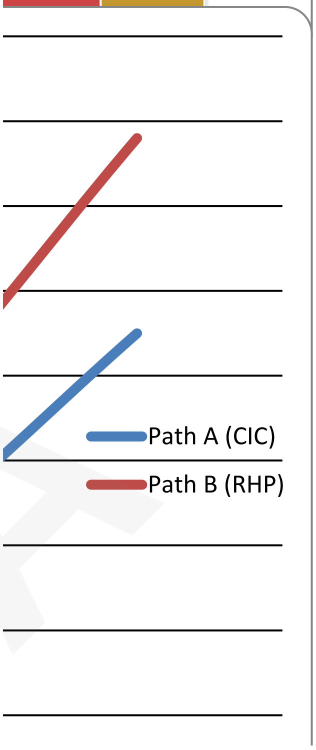
Path A
Path B

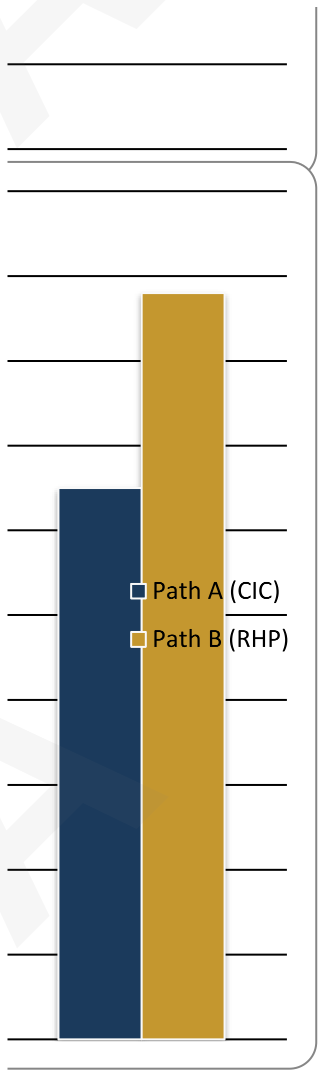



Path
Path
Year


Portfolio Asset Value Growth (£)
Asset value (£)


Traditional
Layerstone


Path A (CIC)
Path B (RHP)


Path A (CIC)
Path B (RHP)